



How governments fail: debt default

A government can find its debts spiralling out of control, if interest payments rise faster than it can raise taxes. Once this happens, the government is on the path to default.

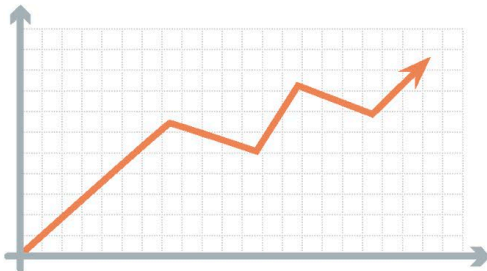
How it works

Ideally, government borrowing should remain stable. Sometimes, however, even a well-run government can be hit by an unexpected and costly event, such as a currency crisis or a sharp recession. When this happens, the government may find itself borrowing increasing amounts to try to keep up with interest payments that are due on its existing debt.

To alleviate this pressure, a government may raise taxes and cut public spending to bring in money. In practice, a government may have to reduce public services or pay its employees with IOUs in lieu of cash. If these measures fail, a government may eventually be forced to default on the debt and admit that it cannot pay. Governments that do this will find it very difficult to borrow in the future, because trust in the country's economic stability will be low. However, countries that default on their debts do sometimes recover very rapidly afterwards.

INTEREST PAYMENTS

Those lending money to countries will charge more if they think the risk of a default is high, to compensate for that risk. The danger for any country with large amounts of debt is that a debt spiral can become a self-fulfilling prophecy. As lenders lose confidence and demand more in interest payments, the debt becomes more difficult to control, and default is more likely.



Argentina 1998–2001

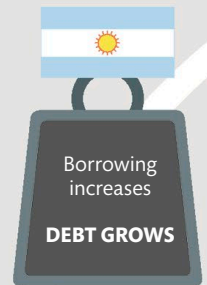
The debt spiral in which Argentina found itself from 1998 until 2001 resulted in what was the largest default in history at that time (it has since been dwarfed by the 2012 “restructuring” of Greece’s debt). Argentina owed a large amount of money, and was borrowing more from other countries and the International Monetary Fund (IMF), until a recession prevented it from repaying its debts fully and the country defaulted.



1. Following a period of hyperinflation during the 1990s, Argentina attempts to implement IMF rules. It finds itself having to borrow substantially from official institutions such as the IMF, and from other countries such as the US.



Recession



6. The economic downturn in the country worsens.

5. Argentina's national government implements austerity measures in an attempt to cut costs.

